



What is value?

❖ **Defined as:**

- A fair return or equivalent in goods, services, or money for something exchanged.
- The monetary worth of something: market price.
- Relative worth, utility, or importance.
- Value is what makes something **desirable!**

What makes Something desirable?

- ❖ Things that make something desirable could be Price (cheap or high value); Appearance (looks); Experience (taste); Ease of use (fresh-cut and washed); Availability (year round like Coca Cola).
- ❖ In all the attributes which make things desirable, consumer is the basis.
- ❖ In other words consumers are the basis to determine value.



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- Value is the perception of the benefits associated with a good, service, or bundle of goods and services (i.e., the customer benefit package) in relation to what buyers are willing to pay for them.
- Adam Smith and David Ricardo suggested that the value of an asset or product depended upon *the amount of labour needed to produce it*,
- William Jevons emphasized that the *utility of a product to a consumer determined its value*.
- Michael porter defined value as value is the *amount buyers are willing to pay for what a firm provides them*.
- Nowadays economists accept that both *supply and demand factors are important in determining* the value of a product, by establishing a market price for it.



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Example:-Consider for a moment a person walking in the desert, who is *dying of thirst*.

- The person has one thing on his/her mind, which is water
- At the moment there is little consideration for the *form of the water*, the *container* or *who will be providing it*.
- **Water has a unique value to that person.** When he/she find water, or he/she is offered some, **money would be of little concern.**
- What is the point of this example?
- **First:-**value is a **subjective experience** that is dependent on the context.



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- ▶ In the context of a **busboy clearing a table**, a glass of water sitting there has *no value, or even negative value*. But for the man dying of thirst, that same glass of water is *extremely valuable*.
- ❖ **Second:-**Value occurs when needs are met through the provision products, resources or services.
- ❖ *Usually during some form of transaction or exchange.*
- ❖ **Finally:-***Value is an experience*, and it flows from the person or institution that is the recipient of resources, it flows from the *customer*.
- ❖ *This is a key difference between a value chain and supply chain.*



Value Chain ?

- ❖ A **value chain** is the system of business activities that a company needs to create a product or service and present to its customers.
- ❖ **value chain** the entire process from conception of the product, acquisition of raw materials up to the delivery of the product to the market.
- ❖ It also involves all the activities that enable this process. Michael Porter first presented the concept of a value chain in 1985 to conceptualize how a company's organizational activities contribute toward creating value for its customers.



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- ▶ The term was used by Michael Porter in his book "Competitive Advantage: **Creating and Sustaining superior Performance**" (1985).
- ▶ He stated that a value chain is a set of activities that an organization carries out to create value for its customers
- ▶ It refers to all the activities and services that bring a product (or a service) from conception to end use in a particular industry..
- ▶ From input supply to production, processing, wholesale and finally, retail.
- ▶ ***It is so called because value is being added to the product or service at each step.***



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- **value chain**” describes the full range of ***value-adding activities*** required to bring a product or service through the different phases of production, including procurement of raw materials and other inputs, assembly, physical transformation, acquisition of required services such as transport or cooling, and ultimately respond to consumer demand (**Kaplinsky and Morris 2002**).
- The term “value chain” refers to the ***process of continued addition of value*** that occurs while the product passes from one actor in the chain to the next, gradually increasing its degree of transformation.
- Value chains focus on value creation—typically via **innovation** in products or processes, as well as **marketing**—and also on the allocation of the incremental value.



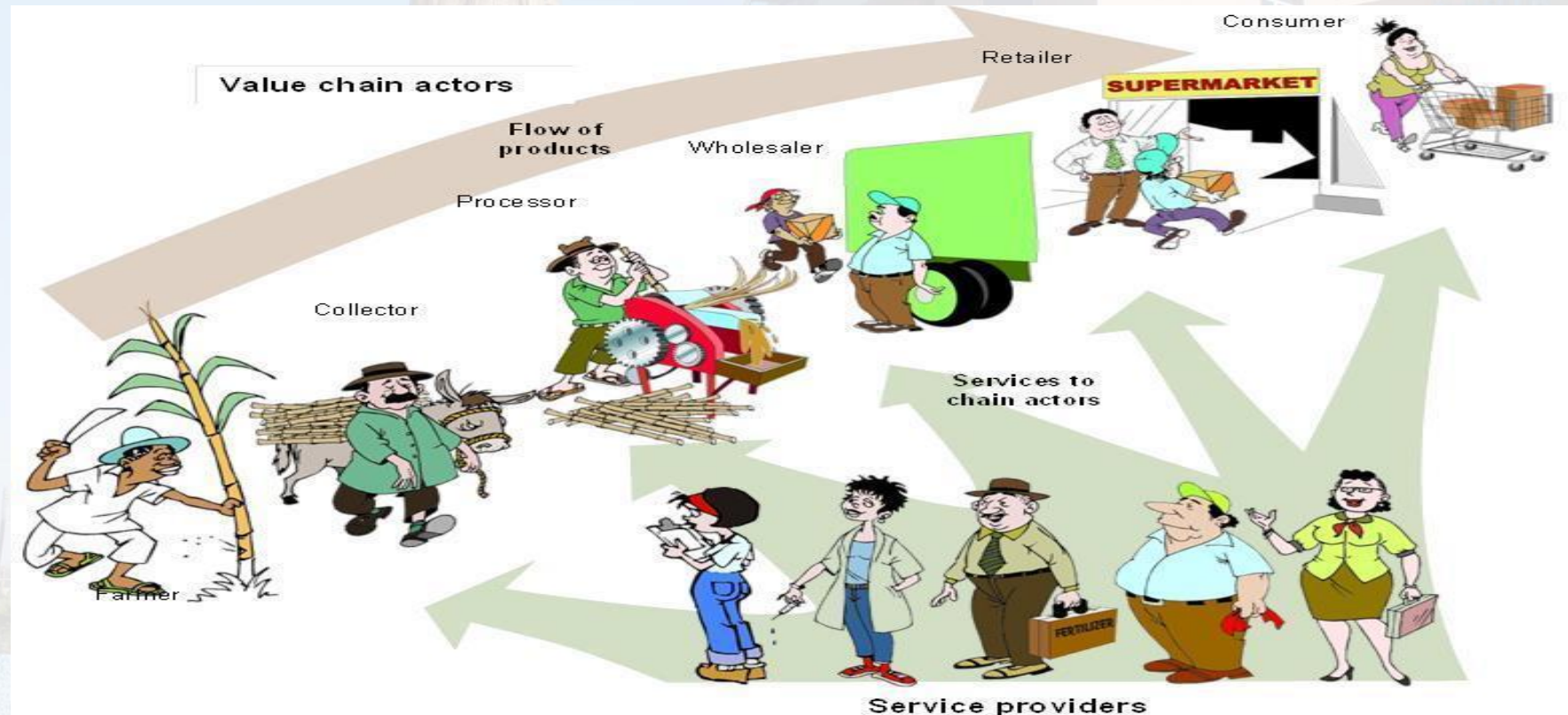
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- “...the full range of value adding activities required to bring a product or service through the different phases of production ...” **World Bank**
- • “Actors connected along a chain producing, transforming and bringing goods and services to end-consumers through a sequenced set of activities” **UNIDO**
- **Good enough for now: The food value chain links producers to companies to consumers**



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❖ **Agricultural value chain**:-the goods, services and processes involved in an agricultural product moving from the farm to the final customer (consumer).





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❖ **Activities: agricultural value chain:-**

- Input supply
- Farm production.
- Post-harvest handling and processing.
- Technologies of production and handling.
- Grading criteria and facilities.
- Cooling and packing technologies.
- Storage and transport.
- Industrial processing.
- Finance.
- Feedback from markets.

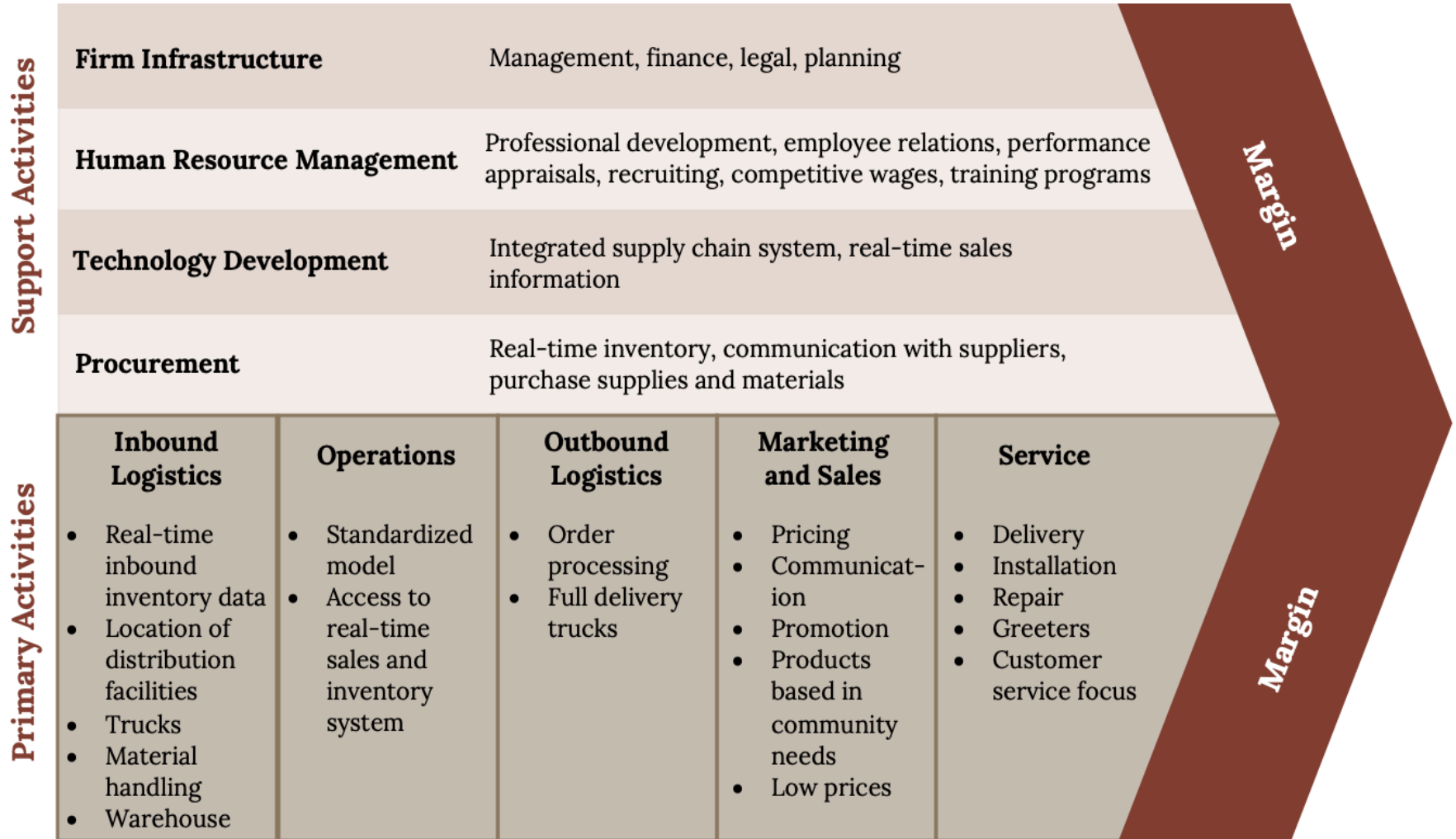


Porter's Value Chain

- ❖ Michael Porter developed the value chain model by looking at the **value creation process** in terms of a value chain composed of the **organizational activities a company performs to add value to its product**
- ❖ Porter's Value Chain focuses on **systems, and how inputs are changed into the outputs** purchased by consumers.
- ❖ Using this viewpoint, Porter described a chain of activities common to all businesses, and he divided them into primary and support activities, as shown below.
- ❖ Porter identified these value chain activities and divided them into **primary and supportive activities**.



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- ❖ **Value chain primary activities** are those that have a direct impact on the **creation of products or services**, their production and sale, and the provision of maintenance and support to customers.
- ❖ There are five value chain primary activities:
 - **Inbound Logistics**: these are activities involved with receiving, managing, and distributing inputs internally.
 - **Operations**: activities that execute the transformation or conversion of inputs into products ready for consumers.
 - **Outbound Logistics**: these are activities and processes that distribute the products to customers. They include storage and collection systems.



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- ❖ **Marketing and Sales:** these are activities that seek to convince consumers to buy the company's products as opposed to those of competitors.
- ❖ They seek to enhance product visibility and communicate the benefits of the products to consumers.
- ❖ **Service:** these activities aim to enhance the customer's experience by providing support services such as *maintenance, repairs, exchanges*, and others that reinforce the relationship between the company and its customers.



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Secondary activities, on the other hand, enable the execution of the primary activities by **providing support to them**. They include:

- ❖ **Procurement**: these are activities through which the organization acquires the resources and inputs it needs for production.
- It involves the identification and management of **vendors** and **negotiation of prices**.
- ❖ **Technology Development**: these involve the utilization of current technology by companies in areas such as research and development, manufacturing processes, information management, cyber security, and the **management of costs associated with the adoption and utilization of technology**.



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- ❖ **Human Resource Management:** these activities revolve around the *recruitment, development, compensation, retention, and overall management of a workforce* that will achieve the organizational objectives of the company, mainly concerning the addition of value to its products.
- ❖ **Firm Infrastructure:** these are the functions and systems that enable a company's **daily operations**.
- ❖ They include departments such as administration, general management, planning, finance, accounting, legal, quality assurance, and public relations.



Terminologies

- ❖ **Value chain actors** - The people at each link along the chain required to move a **product from the farm to the consumer.**
- ❖ **Main actors** - those who buy and sell the product as it moves along the chain. For example a farmer is a main actor.
- ❖ **Supporting actors** - those who provide services to facilitate the movement of the product along the chain. For example a ***transport company is a supporting actor.***
- **Value chain map** – A value chain map is a way of taking what is seen regarding the value chain and put it into a pictorial form that is more easily understood.



Value chain versus Supply chain

- ▶ *Supply chains are defined as “the alignment of firms that bring products or services to the market”*
- ▶ The issue is not so much about which concept is superior or preferable, since they are complementary and their effective implementation can deliver improved business results.
- ▶ It must be noted, though, that practitioners of the supply chain approach often fail to consider to what extent cost **reduction and inefficiencies** in supply chain logistics actually add value, and if so, who benefits.
- ▶ On the other hand, value chain proponents sometimes forget that effective value chains must rest in efficient supply chains.



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- ▶ Value chains are concerned with what the market will pay for.
- ▶ The focus is to make what you can sell profitably (chain).
- ▶ The main objectives of value chain management is:-
- ▶ To deliver quality as desired by the customers/consumers and the focus is on *pie-growing, coordination, and continuous improvement & innovation.*



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- ❖ Whereas, supply chains are concerned with what it costs and how best we can utilize our capacity profitably (Individual business profit).
- ❖ The main objectives of supply chain management are to maximize capacity utilization and the focus is **on pie-sharing, capacity and profit optimization, maintaining status-quo.**
- ❖ Supply chain management is mainly **product oriented** while Value chain management is mainly **consumer oriented.**



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- ▶ Supply chain is a subset of Value chain.
- ▶ Supply chain: *one entity often has most power, short-term relationship*
- ▶ Value chain is *partnership with shared power, long term relationship.*
- ▶ **Value chain:-** specific type of supply chain in which actors support each other so they can increase their overall **efficiency and competitiveness.**
- ❖ A value chain is not the same as a supply chain. A value chain is about linkages generating **value for the consumer.**



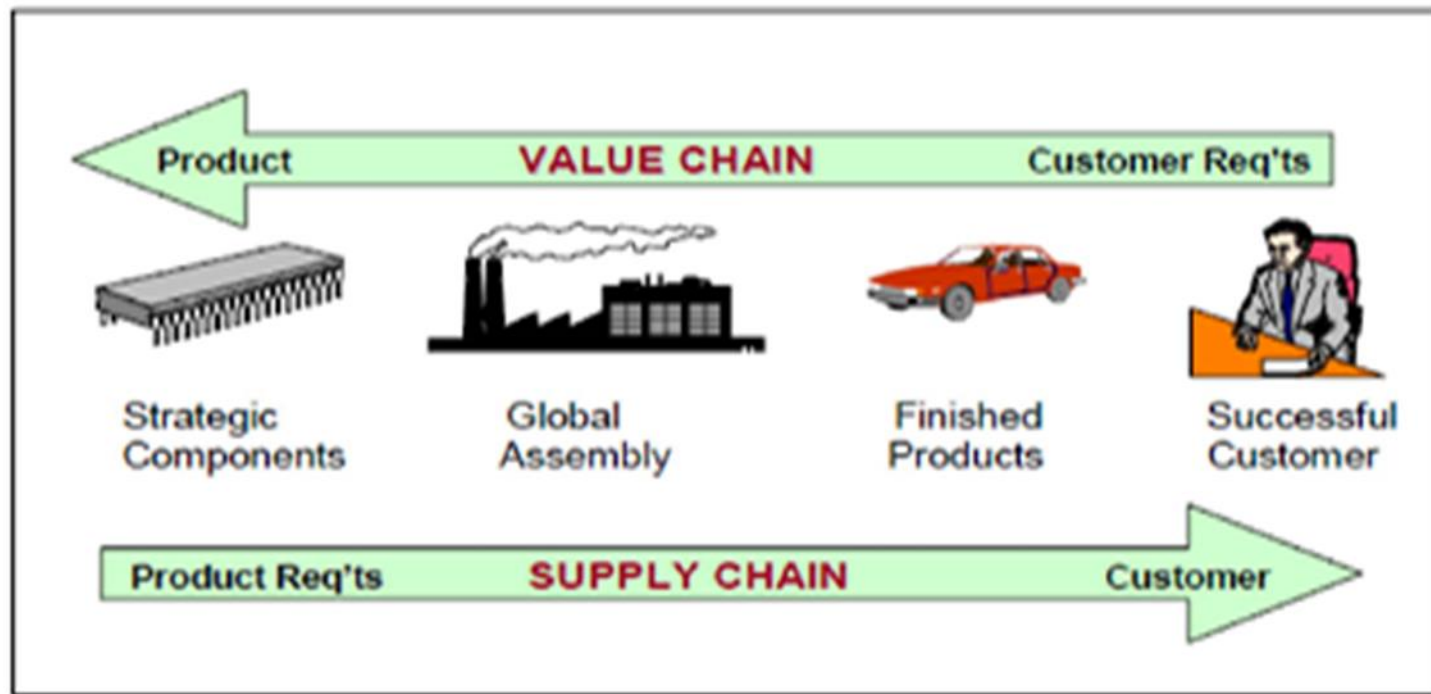
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- ❖ *A supply chain is about processes of moving and transforming commodities into products from producers to consumers.*
- ❖ *While a value chain is about generating value for the consumer, a supply chain is about logistics.*
- ▶ Value chain is inclusive and incorporates supply logistics, value addition, transactions, and market linkages.
- ▶ Value chains therefore encompass all of the factors of production including:-
 - ▶ land, labor, capital, technology, and inputs as well as all economic activities including input supply, production,
 - ▶ transformation, handling, transport, marketing,
 - ▶ and distribution necessary to create, sell, and deliver a product to a certain destination.



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Value Chain Vs Supply Chain





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Supply chain	Value chain
Mainly product oriented	Mainly consumer oriented. Take in to account consumer interest.
Competitive and adversarial. No or less cooperation. Seek to buy as cheaply and sell as expensively as possible.	Combine cooperation with competition to achieve advantages in the market place. Cooperation within the value chain, competition with other value chains.
Business relationships are framed in <i>win loss</i> terms (pie sharing)	Business relationships are framed in win- win terms with in partners (pie growing)
Benefits and profit are not evenly distributed across the supply chain. Processors and marketers usually receive disproportionately higher share	Welfare of all partners is taken in to consideration including appropriate profit margins and long-term business agreements.
Farmers are often operating in restriction markets or under short term contract; bear much of the risk; and may be treated interchangeably (and exploitable) in put suppliers.	Farmers are strategic partners with rights and responsibilities related to information, risk taking, governance and decision making
Lack of trust among marketing channel members	High level of interdependence and trust
Tactical and operational processes	Strategic interest in the performance and well- being of other partners
Internally focused on the creation of physical good	view on organization from the customer's perspective-the integration of goods and services to create value.



Benefits of value chains

- ❖ The value chain framework helps organizations understand and evaluate sources of positive and negative cost efficiency.
- Conducting a value chain analysis can help businesses in the following ways:
 - ❖ Support **decisions for various business activities**.
 - ❖ Diagnose points of **ineffectiveness for corrective action**.
 - ❖ Understand linkages and dependencies between different **activities and areas in the business**. For example, issues in human resources management and technology can fill nearly all business activities.
 - ❖ **Optimize activities to maximize** output and minimize organizational expenses.
 - ❖ Potentially create a **cost advantage over competitors**.
 - ❖ Understand **core competencies** and areas of improvement.



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Food Value Chain

- ❖ A strategic alliance between **farmers or ranchers and other supply-chain partners** that deal in significant volumes of high-quality, differentiated food products that distributes rewards equitably across the chain
- ❖ Partners in these business alliances recognize that creating maximum value for their products depends on **interdependence, collaboration, and mutual support.**
- ❖ Alliances form around **shared values such as social or environmental concerns** that are reflected in the product and customer relations
- ❖ Responsive to demand for products differentiated by values-related claims such as “local,” “regional,” or “organic”
- ❖ The financial rewards accrued through these value chain alliances are ***shared equitably among partners.***



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- ❖ A food value chain is a business model in which **producers and buyers** of agricultural products form strategic alliances with other supply chain actors, such as aggregators, processors, distributors, retailers, and consumers, to enhance financial returns through product differentiation that advances social or environmental values.
- Responsive to demand for products differentiated by values-related claims such as “local,” “regional,” or “organic”



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- ❖ Food value chains exemplify “creating shared value” concept by Harvard professor Michael Porter and consultant Mark Kramer¹
 - Businesses intentionally structure their core operations to produce both **financial success and social benefit**
 - Traditional approaches create value propositions describing how a firm’s products and services are superior (**e.g., product differentiation**)
 - Food value chains additionally ask: **Is our product good for our customers?**
 - Concept incorporates a desire for **social improvement**



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- ❖ Porter and Kramer note businesses that adopt a shared-value lens typically adopt new ***practices and structural changes***
- Reconceive products and markets
 - Identify new products and services to meet social needs or serve overlooked customer segments
- Redefine productivity in the value chain
 - New choices in production, marketing, and distribution; adopt equipment and technologies to save energy, conserve resources, and support employees
- Build supportive industry clusters at the company's locations
 - Enhancement in local procurement and reliance on less ***geographically dispersed supply chains***



Key Characteristics

- ❖ Economies of scale coupled with sales of differentiated food products
- ❖ Cooperative strategies to achieve competitive advantages and the capacity to adapt quickly to market changes
- ❖ High levels of performance, trust, and responsiveness throughout
- ❖ Shared vision, shared information (transparency), and shared decision-making and problem-solving among the strategic partners
- ❖ Commitment to the welfare of all participants with emphasis on equitable profit sharing, fair wages, and mutually acceptable business agreements



Producers As Strategic Collaborators

- Know their **production and transaction costs** and are able to **negotiate** prices based on acceptable profit margins above those costs
- Perceive contracts and agreements as fair, providing equitable treatment to all partners, and including appropriate timeframes
- Are able to **own and control their own brand identity** as far up the supply chain as they choose, including co-branding
- Participate in decisions for **conflict resolution, communicate concerns about performance,** and alter directions within the value chain



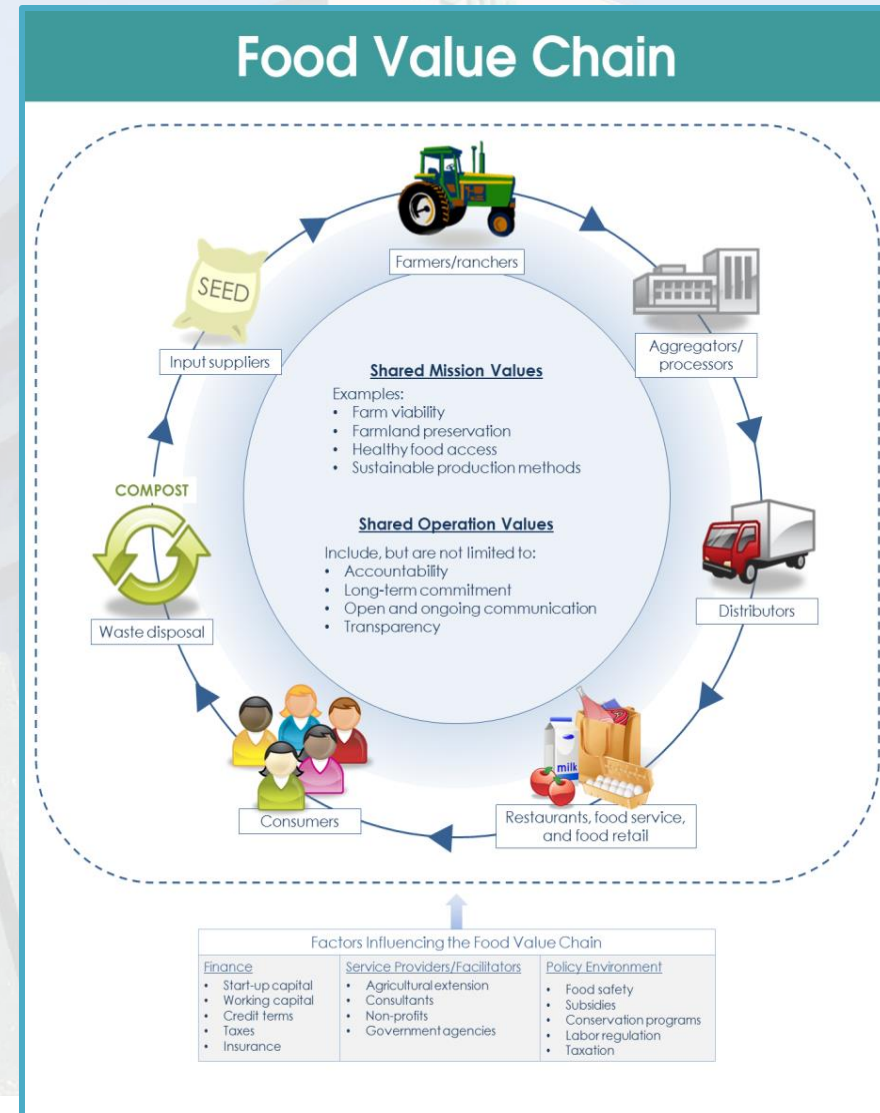
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- ❖ In producing value for participants and society at large, food value chains exemplify what Harvard Business School Professor Michael Porter and consultant Mark Kramer refer to as ***“creating shared value.”***
- ❖ Rather than businesses seeing **“social responsibility”** as something they do for public relations purposes, they orient their core operations to simultaneously achieve business success and social benefit.
- ❖ The **shared-value concept** that is embedded in food value chain businesses recognizes that markets have the potential to generate positive externalities in addition to private benefits.
- Food value chains are distinguished from other business arrangements by their commitment to ***transparency, strategic collaboration and dedication to authenticity***, along with their interest in developing business strategies and solutions that yield tangible benefits to each participant in the system.



Food Value Chain Schematic

- ❖ Food value chain may look like a traditional supply chain
- ❖ Shared mission and operational values support decisions and processes
- ❖ External factors affect the food value chain
 - Finance
 - Service providers/facilitators
 - Policy environment





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As shown in figure 1, three simultaneous dynamics are at work in any given food value chain:

- (1) the relationships between **value chain actors** facilitate the movement of food from farm to table;
 - (2) these relationships are governed by shared operational and mission values; and
 - (3) the operational design, values, and ultimate success of a food value chain are conditioned by a multitude of external factors, including *market demand, availability of support services and physical assets, access to capital, and the policy environment.*
- Some of these dynamics are also seen in traditional supply chains; however, what differentiates a food value chain from a traditional supply chain is the emphasis on establishing **shared mission and operational values.**



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The sustainable and inclusive food value chain can be defined as:

“Improve current methods of farmers and private players / cooperatives and their successive coordinated **value-adding activities** that transform raw agricultural materials into food products that are sold to final consumers and disposed after use, in a manner that is profitable throughout the chain. It generates benefits to individual farmers and society and does not permanently deplete natural resources.”(adapted from FAO, 2013)



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- ❖ A *food value chain* (FVC) consists of all the stakeholders who participate in the coordinated production and value-adding activities that are needed to make food products.
- ❖ A food value chain consists of a *range of actors* that participate in the coordinated production and value *adding activities* that are needed to make food products available to a consumer.



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A **sustainable food value chain** is a food value chain that:

- ❖ is profitable throughout all of its stages (**economic sustainability**);
- ❖ has broad-based benefits for society (**social sustainability**);
- ❖ has a positive or neutral impact on the natural environment (**Environmental sustainability**);
- ❖ The SFVC concept recognizes that value chains are dynamic, **market-driven systems** in which vertical coordination (governance) is the central dimension and for which value added and sustainability are explicit, multidimensional performance measures, assessed at the aggregate level.



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- ✓ By responding to rising consumer demand nimbly and effectively, *food value chains are reaping a number of operational, economic, and community benefits.*

1. Economic benefit through strategic collaboration

- Coordinated marketing and distribution activities **maximize product** value through strategic responsiveness to market demands

2. Market expansion and food recovery

- Aggregation and distribution allows **small and medium-sized producers** to access commercial and institutional markets otherwise unavailable
- As a result, a wider range and volume of product than possible through their existing marketing channels can be reached.



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3. Market intelligence and customer loyalty

- Customer feedback and market intelligence are gathered at point of sale and shared among value chain partners
- Suppliers gain advantage in responding more quickly to customer needs and buyer requirements
- Consumers directly access producers, building loyalty and giving insight into preferences

4. Community Development Benefits

- Farmers who receive a greater share of consumer expenditures have more discretionary income to spend on local goods and services
- Local food value chains can tell the story of both suppliers and the community, increasing loyalty and brand recognition

